

Case ID

AML CS - 3001

Case Title

Investigation of Potential Trade-Based Money Laundering Through Over-Invoicing

Case Background

XYZ Bank's Trade Finance Monitoring Team generated an internal alert during a routine review of export transactions involving **Global Textile Exports Pvt Ltd.** The company had recently reported a sharp increase in export values despite no significant change in production capacity or business operations.

During the review, AML analysts observed that several export invoices appeared to be considerably higher than the estimated market value of similar goods. As the discrepancies continued across multiple shipments, the case was assigned to the Financial Crime Compliance team for further investigation to determine whether the transactions indicated potential Trade-**Based Money Laundering (TBML)**.

Company Profile

| Field               | Details                         |
|---------------------|---------------------------------|
| Company Name        | Global Textile Exports Pvt Ltd. |
| Industry            | Textile Manufacturing & Export  |
| Country             | India                           |
| Customer Since      | 2021                            |
| Business Type       | Private Limited Company         |
| Account Type        | Corporate Current Account       |
| KYC Status          | Verified                        |
| Initial Risk Rating | Medium                          |

Trade Transaction Details

| Field                                | Details          |
|--------------------------------------|------------------|
| Trade Type                           | Export           |
| Goods Exported                       | Cotton Garments  |
| Destination Country                  | UAE              |
| Shipmate Date                        | 14 August 2026   |
| Invoice Value                        | USD 480,000      |
| Estimated Market Value               | USD 295,000      |
| Payment                              | Letter of Credit |
| Number of Similar Shipments Reviewed | 5                |

# Customer Business Profile

Global Textile Exports Pvt Ltd. has maintained a corporate banking relationship with XYZ Bank since 2021. The company primarily exports cotton garments to buyers in the Middle East and Southeast Asia. Historical transaction records indicate stable export activity with invoice values generally aligned with prevailing market prices.

Over the past three months, however, export invoice values increased significantly without corresponding growth in production volume, employee count, or declared business expansion.

## Reason for Investigation

### Why was the alert generated?

- Export invoice values were substantially higher than comparable market prices.
- Similar pricing discrepancies were identified across multiple shipments.
- Business operations remained unchanged despite increased trade values.
- Transaction pattern differed from the company's historical trading behaviour.
- Trade finance monitoring rules flagged repeated over-invoicing indicators.

## Red Flags

| Red Flags                     | Observation |
|-------------------------------|-------------|
| Over-Invoicing                | Yes         |
| Repeated High Invoice Values  | Yes         |
| Unusual Trade Pattern         | Yes         |
| Inconsistent Business Growth  | Yes         |
| Multiple Similar Transactions | Yes         |

## Initial Risk Assessment

| Risk Factor                | Assessment |
|----------------------------|------------|
| Customer Risk              | Medium     |
| Product Risk               | Medium     |
| Geographic Risk            | Medium     |
| Trade Risk                 | High       |
| Overall Investigation Risk | High       |

## Investigation Overview

Following the automated alert, the AML Compliance team initiated a detailed review of the customer's trade finance activities. The objective was to determine whether the increase in invoice values represented a legitimate commercial transaction or a potential indicator of Trade-Based Money Laundering (TBML).

The investigation focused on the customer's trading history, shipment documentation, payment records, customer profile, and supporting business information.

## Documents Examined

| Document                        | Review Status |
|---------------------------------|---------------|
| Commercial Invoices             | Reviewed      |
| Bill of Lading                  | Reviewed      |
| Letter of Credit                | Reviewed      |
| Shipping Document               | Reviewed      |
| Customer KYC Records            | Reviewed      |
| Business Registration Documents | Reviewed      |
| Previous Trade transactions     | Reviewed      |
| Sources of Funds Information    | Reviewed      |

## Key Observations

- Export invoice values increased significantly over a short period.
- Production capacity remained consistent with previous years.
- Shipment quantities showed only a minor increase despite substantially higher invoice values.
- Multiple export invoices reflected pricing above estimated market value.
- Similar pricing patterns were observed across five consecutive export transactions.
- No documented business expansion or operational changes supported the increase in trade value.

## Verification Performed

- ✓ Customer identity and corporate KYC records verified.
- ✓ Trade finance documentation reviewed for completeness.
- ✓ Historical export transaction patterns compared with current activity.
- ✓ Public business information reviewed for recent expansion announcements.
- ✓ Market pricing for comparable textile exports assessed using available commercial references.
- ✓ Beneficiary payment details reviewed for consistency with trade documentation.

## Investigation Findings

- The review identified a consistent pattern of export invoices valued considerably above the estimated market price for similar textile products. Although the supporting trade documentation appeared complete, the pricing discrepancies were not supported by evidence of improved product quality, increased production costs, or expanded business operations.
- Repeated over-invoicing across multiple shipments increased the risk that the transactions could be used to transfer value through trade rather than reflecting genuine commercial pricing.

- At the time of the investigation, no direct evidence confirmed money laundering; however, the identified indicators justified enhanced review under the bank's risk-based AML framework.

## Recommendation

- The analyst recommended escalating the case for **Enhanced Due Diligence (EDD)** to obtain additional information from the customer regarding the pricing methodology, commercial agreements, and supporting documentation for the increased invoice values.
- The relationship should remain under enhanced monitoring until satisfactory explanations and supporting evidence are received.

## Final Decision

| Item                   | Decision                         |
|------------------------|----------------------------------|
| Investigation Status   | Completed                        |
| Alert Status           | Escalated for EDD                |
| Customer Risk Rating   | High                             |
| Enhanced Due Diligence | Required                         |
| STR Filing             | Not Recommended at Current Stage |
| Ongoing Monitoring     | Required                         |

## Key Learning

Trade-Based Money Laundering often involves the manipulation of trade documentation rather than unusual cash movements. Consistent over-invoicing without a clear commercial justification may indicate an attempt to transfer value through international trade. Effective AML investigations require analysts to compare transaction patterns with the customer's normal business activity, review supporting documentation, and apply a risk-based approach before determining the appropriate course of action.

**Disclaimer:** This case study is a fictional scenario created solely for educational and portfolio purposes. It does not represent any real customer, organization, or financial institution. The content is intended to demonstrate AML investigation methodology and analytical reasoning.